6.3 Distribution of accumulated profits, reserves and losses

Profits and losses of previous years which are not distributed to the partners are known as accumulated profits and losses. Reserve includes general reserve, reserve fund, workmen compensation fund and investment fluctuation fund. As the accumulated profits and losses belong to all the partners, these should be distributed to all the partners in the old profit sharing ratio. Incase of workmen compensation fund, the excess amount after providing for anticipated claim is to be transferred. Following are the journal entries to be passed:

(a) For transferring accumulated profits and reserves

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Profit and loss Appropriation A/c	Dr.		xxx	
	General reserve A/c	Dr.		xxx	
	Reserve fund A/c	Dr.		xxx	
	Workmen compensation fund A/c	Dr.		xxx	
	Investment fluctuation fund A/c	Dr.		xxx	
	To All partners' capital / current A/c (in the old ratio)				xxx

(b) For transferring accumulated loss

Date	Particulars		L.F	Debit ₹	Credit ₹
	All partners' capital / current A/c	Dr.		xxx	
	To Profit and loss A/c (in old ratio)				xxx

Illustration 1

Vivin, Hari and Joy are partners sharing profits and losses in the ratio of 3:2:1. On 31.3.2017, Hari retired. On the date of retirement, the books of the firm showed a general reserve of ₹ 60,000. Pass the journal entry to transfer the general reserve.

Solution

Journal entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
2017	General reserve A/c	Dr.		60,000	
March 31	To Vivin's capital A/c	(60,000 × 3/6)			30,000
	To Hari's capital A/c	(60,000 × 2/6)			20,000
	To Joy's capital A/c	(60,000 × 1/6)			10,000
	(General reserve transferred to all partners' capital account in the old profit sharing ratio)				

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